positions. My pal Meb Faber of Cambria Funds has a new ETF solution based on a mechanism under US tax law, specifically Section 351 of the Internal Revenue Code. (This is similar in theory to Section 1031 real estate transactions.) By the time this book is published, the Cambria Tax Aware Fund (TAX) will be out.[425]

This new ETF strategy allows anyone to contribute appreciated stocks to seed the formation of a new ETF. In return, they receive a diversified set of holdings in that ETF structure. The fund limits contributions to 25% in any one position and requires a minimum of $100,000 to participate. That's not nothing, but it's a fraction of what is needed in separately managed accounts (SMAs). In return, investors receive a diversified set of holdings in that ETF structure without incurring a taxable event and retaining the original tax basis.

Last, Canopy Capital, created by former Fidelity bond manager Eric Golden, aims to do for fixed income what Canvas and other direct indexers did for equities.[426]

Years ago, creating a bond portfolio that could deliver the maximum after-tax returns using software was simply not a viable option. Today, max-after-tax total return in fixed income is a function of smart algorithms and optimization engines.

Hedge funds, private equity, venture funds—let's cautiously consider the world of alternatives.

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Administrative concerns include enormous monthly brokerage account statements, endless pages of annual reports, notifications for every corporate action or announcement, and many other minor annoyances.
421 Once trading costs dropped to zero, a large cost impediment to DI disappeared.
422 When substituting one individual stock for another, the replacement needs to be similar in terms of numerous elements such as value, market cap, volatility, sector, liquidity, growth,